Betrothy: Equity and Cap Table Explainer

> A clear guide to how early investors get equity, with a worked example and a live calculator (cap-table-model.csv) you can edit.
>
> **Not legal, tax, or financial advice.** The round terms below (raising $150,000 for 15% of the company at a $1,000,000 post-money cap) are the current plan, and remaining bracketed values [ ] are still placeholders. Have a securities attorney set and confirm the real terms.

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1. The instruments, briefly

Instrument	What it is	Good for
SAFE (recommended)	A Simple Agreement for Future Equity. Money now, equity later (at the next priced round). No interest, no maturity date.	Fast, cheap, standard for friends-and-family and pre-seed. The official YC SAFE is the market standard.
Convertible note	Like a SAFE but a loan: it has interest and a maturity date.	When investors want debt protection. More complex.
Priced equity round	You sell shares now at a set price and valuation. Requires a full legal round and a 409A valuation.	Larger, later rounds. Overkill for a small friends round.

For a friends-and-family round, the **post-money SAFE** is almost always the right tool: simple, well understood, and fair to both sides.

2. How a post-money SAFE turns into ownership

The post-money SAFE has a beautifully simple rule:

```
Ownership % at conversion = Investment / Post-money
valuation cap
```

This round raises **$150,000 for 15% of the company** at a **$1,000,000 post-money cap**, which gives:

Investment	**Ownership at conversion (before future dilution)**
$500	0.05%
$5,000	0.50%
$10,000	1.00%
$50,000	5.00%
$150,000 (the whole round)	**15.0%**

So 15% of the company sells for $150,000, the full friends-and-family round. The lower $1,000,000 cap is deliberate: it gives early friends more ownership for their money than a higher cap would, and more upside when a future round prices higher.

The “cap” is the valuation at which your money converts to shares. A lower cap means you get more ownership for the same money. The investor converts at the **better of** the cap or the next round’s price (and at the discount, if any).

3. A simple starting cap table

Illustrative, when this SAFE round converts and before the next priced round adds new money:

```
pie showData
  title Ownership snapshot (illustrative)
  "Founders" : 75
  "Option pool (reserved)" : 10
  "Friends and family SAFE round" : 15
```

- **Founders 75%:** you (and any co-founders).
- **Option pool 10%:** shares reserved to hire and reward an early team.
- **SAFE round 15%:** the friends-and-family investors, in proportion to their checks (the $150,000 raise divided by the $1,000,000 cap).

4. What dilution means (important and honest)

Every time the company raises more money in the future, **everyone's percentage goes down** (you all own a smaller slice of a bigger pie). That is normal and healthy if the pie grows faster than the slice shrinks.

Example: if the next round sells 20% of the company to new investors, an early backer who held 1% would be diluted to about 0.8%. The hope is that the company is worth far more by then, so 0.8% of a much larger company is worth more than 1% of a tiny one. There is no guarantee of that.

5. The live calculator

Open cap-table-model.csv in Google Sheets or Excel:

- **Part 1** computes each investor's ownership from their check and the cap. Edit the investment amounts and the cap; the ownership recalculates.
- **Part 2** shows the simple ownership snapshot (founders, option pool, SAFE round) when the round converts.

To model your real round, change the cap and the round target, list your actual investors and amounts, and add a column for any discount.

6. Before you use any of this

- Set the cap, round size, and any discount with a **securities attorney**.
- Use the **official YC post-money SAFE** documents, not a homemade contract. See INVESTMENT-AGREEMENT-DRAFT-SAFE.md for how to fill them in, and the disclaimers there.
- Comply with securities law (accredited-investor rules, exemptions, filings).
- Keep your cap table clean from day one; messy early cap tables are expensive to fix later.

Directional examples only. Not legal, tax, accounting, or investment advice.